

Notes: Ben-David, Li, Rossi, and Song (RFS, 2022)

What Do Mutual Fund Investors Really Care About?

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1 Big picture

- **Question.** Do mutual fund investors allocate capital because they rationally learn about manager alpha, or because they chase simple, salient performance signals?
- **Main answer.** The paper argues for the simple-signals view. Mutual fund investors chase unadjusted past returns and Morningstar star ratings; they do not appear to carefully adjust performance using asset pricing models.
- **Why the distinction matters.** A large literature interprets flow-performance sensitivity as Bayesian learning about manager skill. If flows respond similarly to passive index funds and to unadjusted returns, this interpretation is much weaker.
- **Data.** The main sample combines actively managed U.S. equity funds from CRSP with Morningstar ratings and a parallel sample of passive index mutual funds. The baseline active sample follows Barber, Huang, and Odean and spans 1991-2011.
- **Extensive-margin evidence.** Aggregate flows into active funds are strongly related to lagged unadjusted returns and are highly correlated with flows into index funds. Aggregate alphas have little explanatory power.
- **Intensive-margin evidence.** In the cross-section, Morningstar ratings and past unadjusted returns best explain which funds receive flows. Asset-pricing-model alphas do not improve the explanation of flows relative to simple unadjusted returns.
- **Passive-fund falsification.** Similar flow-performance patterns appear for passive index funds, where there is little manager skill to learn about. This is central evidence against the sophisticated-learning interpretation.
- **Reinterpretation of prior tests.** Results commonly interpreted as evidence of learning about alpha also appear in falsification tests and can arise mechanically from return decompositions and time-varying flow-performance sensitivity.
- **Economic takeaway.** Mutual fund flows look more like household extrapolation and reliance on simple heuristics than like rational alpha learning.

2 Data and measurement

2.1 Active mutual fund sample

- The active-fund sample uses diversified actively managed U.S. equity mutual funds.
- Share classes are aggregated to the fund level, because they represent the same portfolio but different fee structures.
- The unit of observation is a fund-month.
- The authors use fund flows, ratings, category assignments, expense ratios, and other variables constructed to match prior flow-performance studies.

Interpretation: The active sample is designed to be comparable to earlier papers that interpret fund flows as learning about skill. This makes the reinterpretation of those patterns more powerful.

2.2 Fund flow measure

For fund p in month t , percentage flow is measured as

$$F_{p,t} = \frac{TN A_{p,t}}{TN A_{p,t-1}} - (1 + R_{p,t}), \quad (1)$$

where $TNA_{p,t}$ is total net assets and $R_{p,t}$ is the fund return.

Interpretation: The formula removes the growth in fund assets mechanically caused by portfolio returns. The remaining change in total net assets is interpreted as investor capital flow.

2.3 Passive index fund sample

- The passive sample is constructed from broad-based index mutual funds.
- Leveraged and enhanced index products are excluded.
- The passive sample is important because passive funds should not involve the same manager-alpha learning problem as active funds.

Interpretation: If investors chase performance in passive index funds as strongly as in active funds, the behavior is hard to interpret as learning about active managerial skill.

2.4 Performance measures

The paper studies several measures of fund performance:

- unadjusted fund returns;
- market-adjusted returns;
- CAPM alpha;
- Fama-French three-factor alpha;
- Fama-French-Carhart four-factor alpha;
- Morningstar star ratings.

Interpretation: The key comparison is simple signals versus model-adjusted measures. Sophisticated alpha learning predicts flows should respond to alphas. Simple performance chasing predicts flows should respond to unadjusted returns and ratings.

2.5 Morningstar ratings

- Morningstar assigns star ratings within fund categories based primarily on risk-adjusted historical performance.
- Ratings are highly salient to retail investors and appear in fund marketing materials.
- In June 2002, Morningstar changed its rating methodology, moving from broad ratings to more category-specific ratings.

Interpretation: The 2002 reform helps the authors separate the salience of star ratings from pure learning about skill. If flows follow rating changes driven by methodology, that supports the ratings-as-simple-signal interpretation.

3 Models and empirical specifications

3.1 Aggregate flow regressions

The extensive-margin time-series regression can be written as

$$AggFlow_t = \alpha + \beta Perf_{t-1} + \gamma' X_t + \varepsilon_t, \quad (2)$$

where $AggFlow_t$ is aggregate monthly flow to active funds, $Perf_{t-1}$ is lagged aggregate fund performance, and X_t includes controls such as residual index-fund flows, month fixed effects, and contemporaneous market returns.

Interpretation: A positive coefficient on unadjusted returns is consistent with performance chasing. A strong coefficient on alpha would be more consistent with learning about manager skill. The paper finds the former and not the latter.

3.2 Cross-sectional fund-flow regression

The intensive-margin regression is conceptually

$$F_{p,t} = \alpha_t + \beta_1 ReturnRank_{p,t-1} + \beta_2 Rating_{p,t-1} + \Gamma' Controls_{p,t-1} + u_{p,t}. \quad (3)$$

- α_t are month fixed effects.
- Returns can be continuous or discretized into groups.
- Ratings are Morningstar stars or rating indicators.
- Outcomes include percentage flows, dollar flows, and the probability of positive flows.

Interpretation: This regression asks what signal investors use when choosing among funds in the same month. The important result is that ratings and unadjusted returns dominate alphas from common factor models.

3.3 Horse races among performance measures

For top-ranked fund groups, the paper estimates horse races of the form

$$F_{p,t} = \alpha_t + \sum_m \delta_m Top_{p,t-1}^m + \Gamma' Controls_{p,t-1} + u_{p,t}, \quad (4)$$

where $Top_{p,t-1}^m$ indicates whether fund p is top-ranked according to measure m : Morningstar, unadjusted return, CAPM alpha, FF3 alpha, or FFC4 alpha.

Interpretation: If investors really learn alpha, top alpha-ranked funds should attract flows independently of simple return rankings. The paper finds that Morningstar ratings and unadjusted returns win these horse races.

3.4 Flow-performance sensitivity and prior learning tests

A generic flow-performance sensitivity (FPS) regression is

$$F_{p,t} = \alpha_t + \lambda_t Perf_{p,t-1} + \Gamma' Controls_{p,t-1} + u_{p,t}. \quad (5)$$

Prior papers interpret how λ_t varies across market states or return components as evidence about learning.

Interpretation: Ben-David et al. argue that these tests are not clean learning tests. Similar patterns appear for index funds and simulated flows, so the patterns can be mechanical consequences of simple performance chasing.

4 Identification and empirical design

4.1 What the paper is identifying

- The paper does not estimate a treatment effect from a randomized shock.
- Instead, it distinguishes competing interpretations of the same empirical regularity: fund flows respond to past performance.
- The authors use cross-market comparisons, passive-fund falsification, Morningstar-rating variation, and replications of earlier learning tests.

Interpretation: The identification strategy is diagnostic rather than causal. It asks which behavioral model is consistent with the full set of facts.

4.2 Why passive index funds are a key falsification test

- Active-fund flows could reflect either performance chasing or skill learning.
- Passive index-fund flows cannot plausibly reflect learning about fund managers' alpha in the same way.
- If similar flow-performance relationships appear in passive funds, the learning interpretation loses force.

Interpretation: This is the cleanest conceptual test in the paper: behavior that appears where there is no alpha to learn about is unlikely to be evidence of alpha learning.

4.3 Why Morningstar ratings matter

- Morningstar ratings are highly visible to investors.
- They summarize past performance in a simple ordinal signal.
- The 2002 Morningstar methodology change shifts ratings in ways that are not simply new information about manager skill.

Interpretation: If flows follow star ratings and rating reforms, investors are likely using ratings as salient heuristics rather than computing model-adjusted alpha.

4.4 Limits of the design

- The paper cannot observe each investor's beliefs or decision process directly.
- Fund flows can be affected by brokers, advertising, fees, distribution channels, and tax considerations.
- Morningstar ratings may capture trust or attention as well as pure performance chasing.
- The evidence is strongest against the claim that average household investors behave like sophisticated alpha learners.

Interpretation: The conclusion is not that no investor ever learns about skill. It is that average fund-flow patterns are better explained by simple signals.

5 Tables and figures

This section keeps the same *Read* plus *Economic message* structure, while placing adjacent visuals together to save space.

5.1 Table 1 + Figure 1: sample and aggregate flow patterns

Read:

- Table 1 reports summary statistics for active funds and index funds.
- Active funds are smaller on average than index funds, and active-fund flows are negative on average, while index-fund flows are positive.
- Figure 1 shows that aggregate flows rise with lagged unadjusted fund returns for both active and index funds.
- The index-fund pattern is especially important because passive fund flows should not be driven by learning about active management skill.

Economic message: The raw facts already point toward simple performance chasing: recent market-like returns predict flows into both active and passive funds.

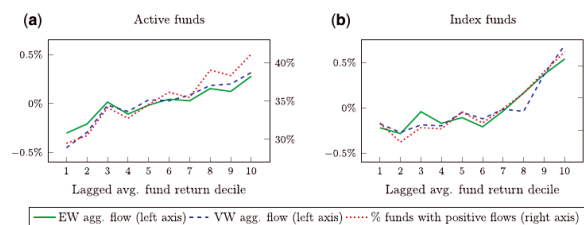


Figure 1
Aggregate flows and market states

Table 1
Sample summary statistics

	No. obs.	Mean	CS std	TS std	P5	P25	P50	P75	P95
Active funds (N = 3,341)									
Size (\$Mn)	248,463	1,472	3,038	364	30	129	411	1,276	7,093
Age (years)	248,463	16.9	12.8	1.4	6.7	9.3	12.8	18.8	45.9
Flow (%)	248,463	-0.54	2.18	0.44	-4.10	-1.63	-0.61	0.45	3.40
Flow (\$Mn)	248,463	-2.6	52.4	6.8	-51.7	-7.4	-1.2	1.3	42.8
Unadjusted ret (%)	248,463	0.34	0.99	1.86	-3.93	-0.60	0.71	1.70	3.10
Market-adj. ret (%)	248,463	0.07	0.99	0.40	-1.49	-0.44	0.01	0.55	1.81
CAPM alpha (%)	248,463	0.09	0.95	0.36	-1.40	-0.42	0.03	0.56	1.76
FF 3-factor alpha (%)	248,463	-0.03	0.78	0.27	-1.25	-0.45	-0.07	0.34	1.34
FFC 4-factor alpha (%)	248,463	-0.03	0.76	0.28	-1.25	-0.42	-0.06	0.33	1.31
Index funds (N = 328)									
Size (\$Mn)	27,332	2,812	10,088	629	23	132	487	1,605	10,044
Age (years)	27,332	9.5	3.6	1.7	4.1	6.1	8.8	12.3	17.7
Flow (%)	27,332	0.15	2.49	0.72	-3.85	-0.94	0.03	1.23	4.52
Flow (\$Mn)	27,332	11.7	121.6	18.4	-31.4	-3.3	0.0	7.1	82.2
Unadjusted ret (%)	27,332	0.36	0.68	1.80	-3.51	-0.45	0.69	1.60	2.89
Market-adj. ret (%)	27,332	0.06	0.68	0.27	-0.87	-0.21	-0.02	0.28	1.21
CAPM alpha (%)	27,332	0.05	0.65	0.23	-0.89	-0.21	-0.03	0.26	1.25
FF 3-factor alpha (%)	27,332	-0.04	0.43	0.12	-0.68	-0.18	-0.03	0.09	0.59
FFC 4-factor alpha (%)	27,332	-0.03	0.41	0.12	-0.64	-0.16	-0.03	0.09	0.58

This table presents summary statistics for the active mutual funds sample and for the passive index funds sample. The data start in 1991, and the final sample period is from July 1997 to December 2011. *CS std* is the cross-sectional standard variation, that is, calculated every month and averaged across time. *TS std* is the time-series standard variation, that is, the standard deviation of the monthly averages. Other variables are defined following Barber, Huang, and Odean (2016).

Figure 1: Aggregate flows and market states

Table 1: Summary statistics

5.2 Table 2 + Figure 2: what drives aggregate flows?

Read:

- Table 2 shows that lagged unadjusted returns strongly predict aggregate flows to active funds.
- Model-adjusted returns and factor alphas have little explanatory power.
- Residual index-fund flows are strongly related to residual active-fund flows.
- Figure 2 visualizes that unadjusted returns, not alphas, explain aggregate flows; residual active and passive flows remain highly correlated.

Economic message: Aggregate flows look like broad extrapolative demand for equity mutual funds, not Bayesian updating about active-manager skill.

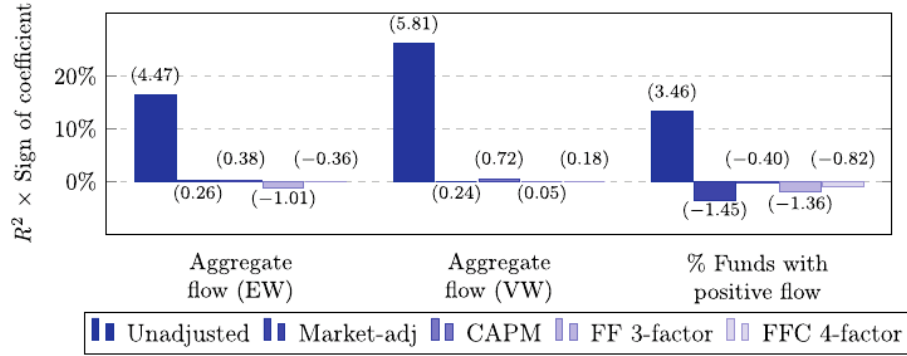
Table 2
Determinants of aggregate flows to active funds

Dependent variable:	Measure of aggregate monthly flow to active mutual funds								
	EW flow (%)						VW flow (%)	EW sign	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
Unadjusted return (%)	0.179*** (4.47)	0.176*** (4.05)	0.178*** (4.35)	0.186*** (4.60)	0.182*** (4.44)	0.191*** (6.19)	0.170*** (6.03)	0.223*** (7.09)	0.031*** (6.53)
Market-adj. return (%)		0.015 (0.26)							
CAPM alpha (%)			0.018 (0.38)						
FF 3-factor alpha (%)				-0.048 (-1.01)					
FFC 4-factor alpha (%)					-0.018 (-0.36)				
Res. index fund flow (%)						0.219*** (3.81)	0.159*** (2.71)	0.132*** (3.21)	0.057*** (9.27)
Calendar-month FE	No	No	No	No	No	No	Yes	Yes	Yes
Contemp. mkt ret	No	No	No	No	No	No	Yes	Yes	Yes
No. months	175	175	175	175	175	175	175	175	175
Adj. R^2	.159	.155	.156	.166	.156	.400	.538	.537	.689

This table presents time series regressions of monthly aggregate flows to active funds onto monthly aggregate fund performance measured as of the end of the previous month. Five measures of fund performance are considered: unadjusted returns, market-adjusted returns, and alphas from the CAPM model, the three-factor Fama-French model, and the four-factor Fama-French-Carhart model. Additional explanatory variables include the monthly residual flow to index funds (i.e., the residual from a regression of monthly flows onto aggregate lagged index fund returns) and the contemporaneous equity market return, both measured during the same month as the dependent variable. To facilitate the comparison of effects, we measure the dependent variable in percentage points, and all continuous explanatory variables are transformed into a standard score. The specifications presented in columns 7 to 9 also include calendar-month fixed effect. No other explanatory variable besides those listed in the table is included. In columns 1 to 7, flows and performance are aggregated monthly by weighting each fund equally. In column 8, funds are weighted by their lagged AUM. In column 9, flows and returns are coded as one if positive and zero otherwise, and are aggregated by weighting each fund equally. t -statistics based on Newey-West standard errors with a six-lag correction are presented in parentheses. *** $p < .01$.

Table 2: Determinants of aggregate flows to active funds

(a) Explanatory power of aggregate fund performance measures



(b) Correlation between residual flows of active and passive funds

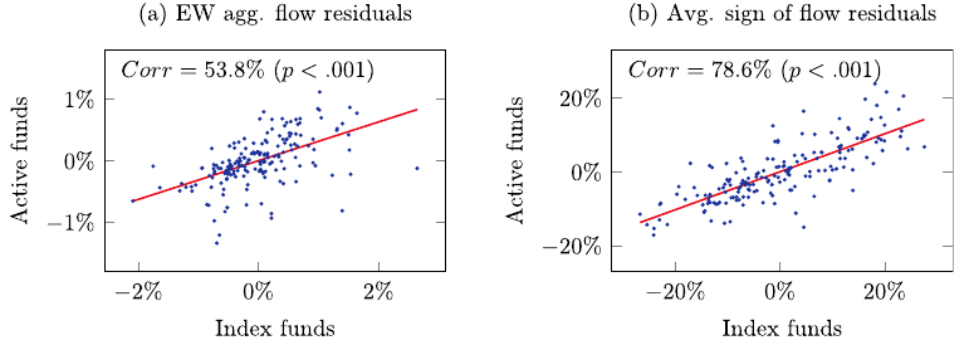


Figure 2
What drives aggregate flows to active funds?

Figure 2: Explanatory power and residual active-passive flow correlation

5.3 Figure 3 + Figure 4: cross-sectional flows and top-ranked funds

Read:

- Figure 3 decomposes explanatory power in cross-sectional flows.
- Morningstar ratings and unadjusted returns both have meaningful explanatory power.
- Figure 4 shows that top Morningstar funds attract the largest flows across several flow measures.
- Funds ranked by alpha do not clearly dominate funds ranked by simple unadjusted returns.

Economic message: Investors appear to choose funds using salient rankings and simple performance measures, rather than model-adjusted alpha estimates.

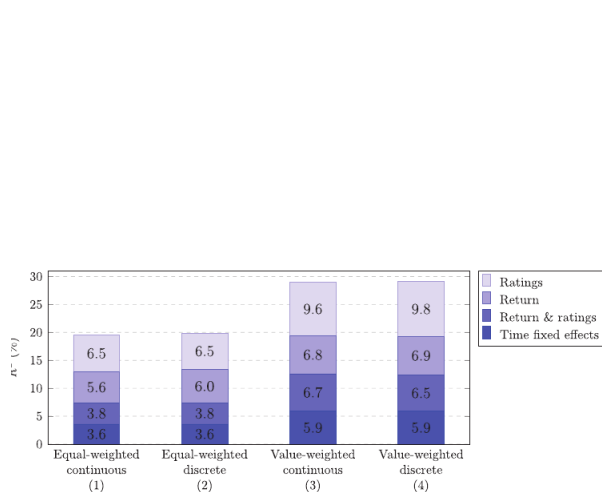


Figure 3
Flow R^2 decomposition using return and rating chasing
This figure presents a decomposition of the explanatory power of past fund returns, Morningstar star ratings, and time fixed effects for the cross-section of fund flows. *Ratings* refers to the marginal R^2 of star rating indicator

Figure 3: Flow R^2 decomposition

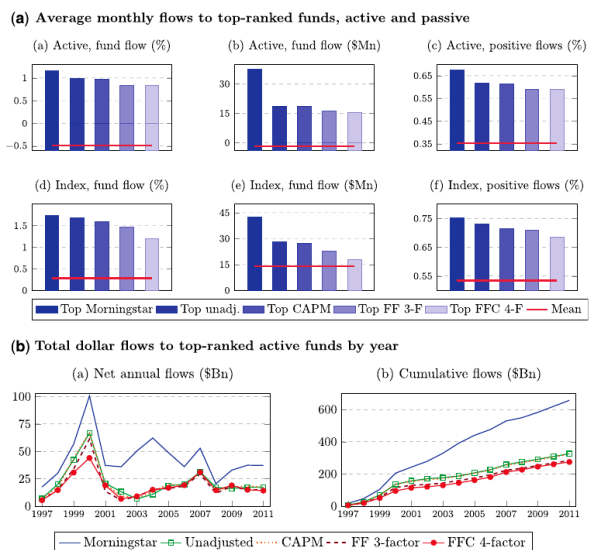


Figure 4

Figure 4: Flows to top-ranked funds

5.4 Table 3 + Table 4 + Figure 5: ratings, horse races, and the Morningstar reform

Read:

- Table 3 runs horse races among top-ranked funds based on Morningstar ratings and different performance metrics.
- Morningstar ratings and unadjusted returns explain flows better than model alphas.
- Table 4 and Figure 5 use Morningstar's June 2002 reform to study whether ratings themselves affect flows.
- Rating changes around the reform affect fund flows, supporting the view that ratings are used directly by investors.

Economic message: External ratings are not just proxies for hidden alpha. They are themselves salient signals that attract or repel investor money.

Table 3
Flows to top-ranked funds: Horse races between performance measures

	Fund flow (%)		Fund flow (\$Mn)		Positive flow (%)	
	Difference	t-stat	Difference	t-stat	Difference	t-stat
	(1)	(2)	(3)	(4)	(5)	(6)
Morningstar vs. Unadjusted	0.099**	(2.50)	10.9***	(6.27)	7.1***	(4.45)
Morningstar vs. CAPM	0.108***	(2.72)	11.0***	(6.26)	7.3***	(4.57)
Morningstar vs. FF 3-factor	0.192***	(4.85)	12.3***	(7.19)	10.4***	(6.55)
Morningstar vs. FFC 4-factor	0.188***	(4.73)	12.5***	(7.09)	10.0***	(6.26)
Unadjusted vs. CAPM	0.032	(0.62)	0.3	(0.37)	0.8	(0.41)
Unadjusted vs. FF 3-factor	0.207***	(4.74)	3.1***	(2.84)	7.3***	(4.41)
Unadjusted vs. FFC 4-factor	0.195***	(4.48)	3.7***	(2.69)	6.5***	(3.97)
CAPM vs. FF 3-factor	0.220***	(5.06)	3.4***	(2.99)	8.0***	(4.71)
CAPM vs. FFC 4-factor	0.197***	(4.55)	3.9***	(2.79)	6.8***	(4.07)
FF 3-factor vs. FFC 4-factor	-0.017	(-0.76)	1.7	(0.85)	-1.4	(-0.56)

Table 3: Horse races across performance measures

Table 4
Effects of Morningstar's reform on ratings and flows

	Pre-June 2002	June 2002	Post-June 2002
<i>A. Monthly fraction of funds with rating change</i>			
Average	13.9%	54.2%	11.9%
Standard deviation	(3.5%)		(2.8%)
<i>B. Marginal R² in explaining flows</i>			
Month-ratings fixed effects	0.073		0.074
Month-category fixed effects	0.043		0.015
Month-category fixed effects, controlling for month-ratings	0.008		0.001

Table 4: Morningstar rating reform and flows

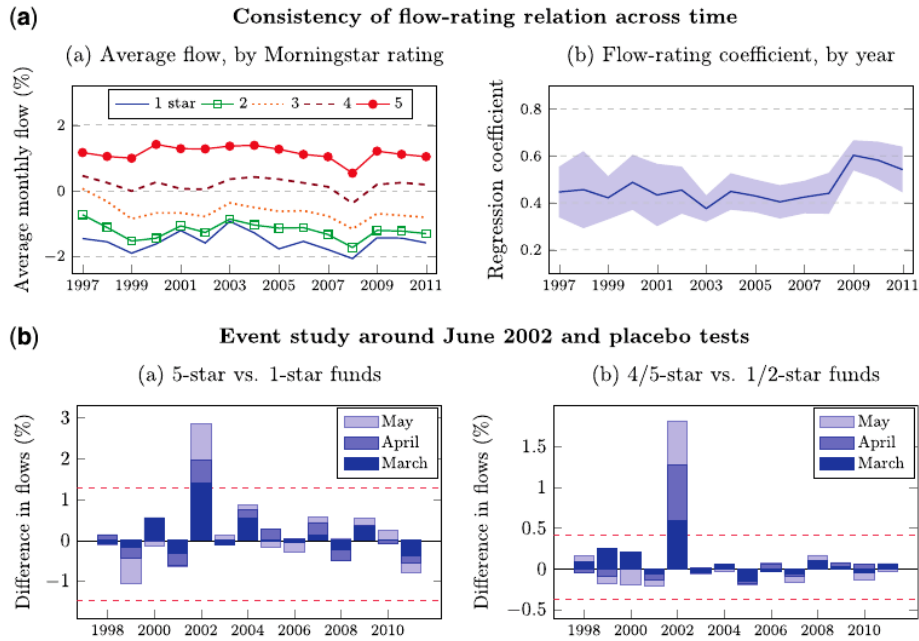


Figure 5
Analysis around the Morningstar rating reform

Figure 5: Ratings around the Morningstar reform

5.5 Figure 6 + Table 5: revisiting prior learning tests

Read:

- Figure 6 replicates prior tests that were interpreted as learning evidence and then applies falsification logic.
- Similar patterns appear for passive index funds and simulated fund flows.
- Table 5 examines whether the sign of fund flows reveals learning about alpha.
- The unadjusted return measure performs strongly, undermining the idea that the test uniquely identifies alpha learning.

Economic message: Patterns previously interpreted as sophisticated learning can arise from simple performance chasing and mechanical features of the tests.

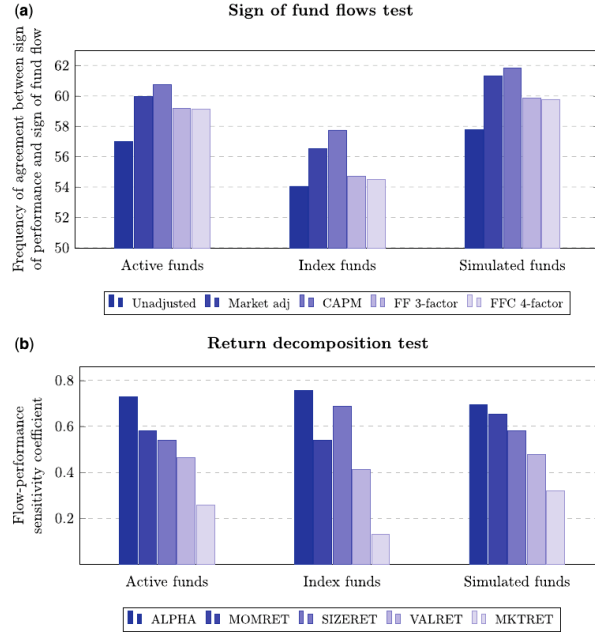


Figure 6
Replication of prior results
In panel A, we report results based on the sign of fund flows test developed by Berk and van Binsbergen (2016)

Table 5
What explains the sign of fund flows results?

Source of variation:	Pooled			Cross-sectional		Time series	Fraction of CS variation
Fixed effects:	No fixed effects			Month	Month-rating	—	
Data source:	Actual	Simulated	Difference	Actual	Actual	Actual	
	(1)	(2)	(3)	(4)	(5)	(6)	
Measure of fund performance							
Unadjusted	57.01 (11.97)	57.80 [0.777]	−0.79 (−0.56)	62.62 (24.47)	59.29 (20.69)	54.22 (3.46)	37.0%
Market adj.	59.95 (24.76)	61.33 [0.546]	−1.38 (−1.42)	60.60 (27.16)	58.05 (22.08)	45.60 (−0.94)	93.4%
CAPM	60.74 (25.73)	61.82 [0.587]	−1.08 (−1.06)	61.20 (28.38)	58.17 (22.15)	50.90 (0.23)	93.5%
FF 3-factor	59.20 (25.70)	59.88 [0.493]	−0.68 (−0.78)	60.02 (31.62)	57.12 (23.24)	46.17 (−0.96)	93.0%
FFC 4-factor	59.12 (25.90)	59.78 [0.494]	−0.66 (−0.77)	59.85 (31.56)	56.99 (22.32)	47.46 (−0.61)	92.7%

This table presents results for the sign of fund flows method developed by Berk and van Binsbergen (2016). For

Figure 6: Replication and falsification tests

Table 5: What explains the sign of fund flows?

5.6 Figure 7 + Figure 8 + Table 6: flow positivity and return decomposition

Read:

- Figure 7 plots the share of funds with positive flows across lagged market-return deciles.
- Fund-flow positivity is strongly related to market states for both active and index funds.
- Figure 8 shows that much of flow-performance sensitivity is tied to factor-related returns rather than alpha.
- Table 6 decomposes fund flows into return components and shows that non-alpha components matter strongly.

Economic message: The evidence points to investors reacting to realized performance and broad market-related return components, not isolating pure manager skill.

2 are empirical simulation-based bootstrapped standard errors. In column 6, t -statistics based on Newey-V standard errors with six-lags are reported in parentheses. Finally, in column 7, we report the portion of each f performance measure's total panel data variance that is attributable to cross-sectional variation ($\text{Var}(\text{Signal}_i^f)$ in Equation (6)).

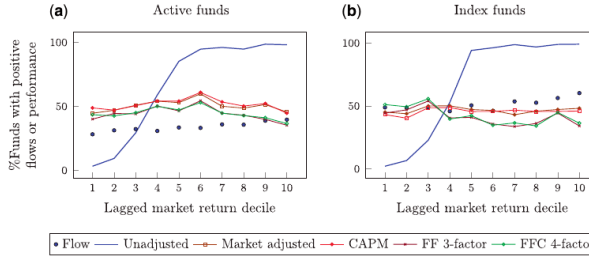


Figure 7: Share of funds with positive flows

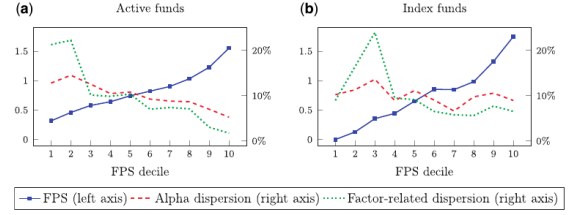


Figure 8
Flow-performance sensitivity and fund return realizations
We group each month in the sample into 10 subperiods sorted by increasing value of the monthly cross-sectional

Figure 8: Flow-performance sensitivity and return realizations

what DO mutual fund investors really care about?

Table 6
Response of fund flows to components of fund returns

Dependent variable:	Fund flows (%)			
	Panel regression			Fama-MacBeth
	Data	Simulation	Difference	Data
	(1)	(2)	(3)	(4)
ALPHA ^{FFC}	0.73*** (24.72)	0.69*** [0.008]	0.03 (1.08)	0.86*** (17.06)
MKTRET	0.26*** (6.40)	0.32*** [0.018]	-0.06 (-1.42)	0.73*** (4.21)
SIZERET	0.54*** (10.28)	0.58*** [0.021]	-0.04 (-0.73)	0.78*** (4.39)
VALRET	0.46*** (8.48)	0.48*** [0.014]	-0.01 (-0.24)	0.73*** (5.56)
MOMRET	0.58*** (12.05)	0.65*** [0.021]	-0.07 (-1.42)	0.36* (1.85)
Month-rating FE	Yes	Yes	—	—
Controls	Yes	Yes	—	Yes

Table 6: Components of fund returns and fund flows

5.7 Appendix robustness visuals

Read:

- Figure B.I breaks down the return-component patterns by factor-related return category.
- Figure B.II reports pairwise model horse races.
- Table B.I compares pooled panel and Fama-MacBeth horse race regressions.
- Figure B.III provides additional index-fund and time-varying flow-performance-sensitivity evidence.

Economic message: The appendix reinforces the same message: the simple performance signal often wins, and model-adjusted alphas are not the central driver of investor flows.

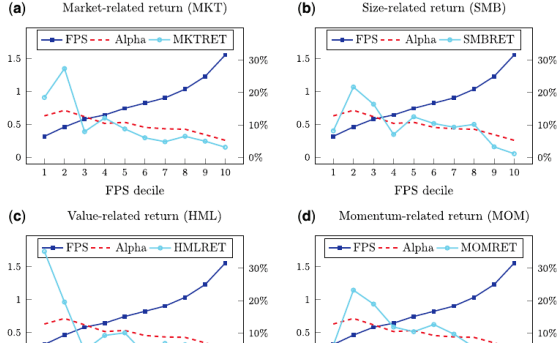


Figure 9: Active-fund return-component breakdown

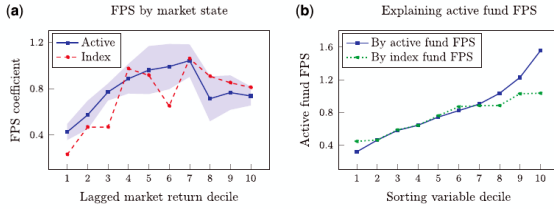


Figure B.III
Flow-performance sensitivity in active and passive funds

Figure 11: Supplementary falsification evidence

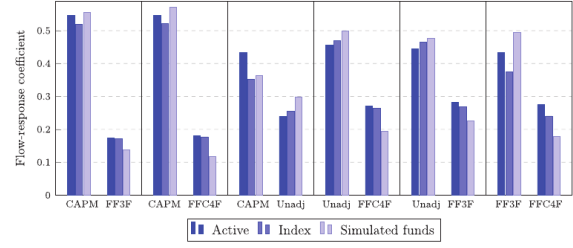


Figure B.II
Alpha horse races: Falsification tests
This figure presents coefficient estimates from pairwise model horse race regressions of fund flows on measures of past performance. For each pairwise model, the bars present coefficients estimated using active fund data, passive index fund data, and simulated fund flow data generated under the null hypothesis that flows respond

Figure 10: Pairwise horse races

Table B.I
Pairwise horse races: Pooled and Fama-MacBeth regressions

Pooled regression				Fama-MacBeth			
Unadjusted	CAPM	FF3	FFC4	Unadjusted	CAPM	FF3	FFC4
(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
Pairwise Model 1: Unadjusted versus CAPM							
0.24 (6.35)	0.43 (12.66)			0.59 (3.20)	0.22 (1.32)		
Pairwise Model 2: Unadjusted versus FF3							
0.45 (13.09)		0.28 (8.18)		0.68 (11.25)		0.12 (3.20)	
Pairwise Model 3: Unadjusted versus FFC4							
0.46			0.77	0.68			0.14

Table 7: Panel and Fama-MacBeth horse races

6 Short summary

- The paper asks whether mutual fund flows reflect sophisticated learning about alpha or simple performance chasing.
- The data cover active U.S. equity mutual funds, passive index funds, Morningstar ratings, and several performance measures.
- Aggregate flows into active funds are strongly related to lagged unadjusted fund returns.
- Aggregate alphas from standard asset-pricing models do not explain active-fund flows.
- Active and passive fund flows share strong residual comovement, inconsistent with a pure skill-learning story.
- In the cross-section, Morningstar ratings and unadjusted returns are the strongest predictors of flows.
- Funds ranked highly by asset-pricing alphas do not attract flows in a way that dominates simple return rankings.
- The Morningstar 2002 methodology change provides evidence that ratings themselves influence flows.
- Prior tests interpreted as learning evidence also generate similar results for index funds and simulated flows.
- The main conclusion is that average mutual fund investors behave more like simple signal users than like sophisticated alpha learners.

7 Conclusion

7.1 Core conclusion

Ben-David, Li, Rossi, and Song argue that the canonical flow-performance relation in mutual funds is better understood as simple performance chasing than as sophisticated learning about manager skill. Investors respond strongly to unadjusted returns and Morningstar star ratings, while model-adjusted alphas contribute little to explaining flows.

7.2 Economic intuition

Households face many funds and limited attention. Rather than estimating alphas from asset pricing models, they use salient and easily available signals: recent returns and star ratings. These signals are simple, marketable, and easy to compare across funds. Because index-fund investors react similarly, the behavior cannot mainly be about learning which active manager has skill.

7.3 Takeaway

The paper changes the interpretation of one of the best-known facts in mutual fund research. The fact that money follows performance does not automatically mean investors are learning about alpha. It may mean investors chase performance in the simplest form they can observe.